

26STCV03155 26STCV03155

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Case Number: 26STCV03155 Hearing Date: July 17, 2026 Dept: 529

Equitable Plaza, llc

v. columbia WEST COLLEGE EDUCATION GROUP, INC. ET al.

DEMURRER

Date

of Hearing: 07/17/2026 Trial Date: None set

Department: 529 Case

No.: 26STCV03155

Moving

Party: Defendants

Columbia West College Education Group, Inc. and Samuel Lee

Responding

Party: Plaintiff Equitable Plaza, LLC

Meet

and Confer: Yes;

Share Decl., ¶¶ 2–3

BACKGROUND

On

January 30, 2026, plaintiff Equitable Plaza, LLC filed a complaint against defendants Columbia West College Education Group, Inc.; Samuel Lee; and Does 1-10, asserting one cause of action for breach of contract.

Plaintiff

alleges that on March 27, 2014, defendant Columbia's predecessor-in-interest, defendant Lee, entered into a written lease agreement with plaintiff to lease the premises located at 3435 Wilshire Blvd., Suite 1700, Los Angeles, CA 90010 (the "Premises") from June 15, 2014 to June 14, 2019. (Compl., ¶ 5; Exhibit 1 to Complaint.) The agreement was assigned to defendant Columbia on June 21, 2016. (Compl., ¶ 6; Exhibit 2 to Complaint.) Via an amendment on May 1, 2019, the lease term was extended from June 15, 2019 to June 14, 2024. (Compl., ¶ 7; Exhibit 3 to Complaint.)

Plaintiff

alleges that defendant Columbia "voluntarily vacated the Leased Premises on August 31, 2022," and at the time of vacating, "there remained unpaid balances of rent due under the lease agreement" totaling approximately \$420,293.35. (Compl., ¶¶ 8–9.) Plaintiff further alleges that defendant Lee is a personal guarantor of defendant Columbia's unpaid rent pursuant to a Personal Guaranty agreement dated June 21, 2016. (Compl., ¶ 13.)

On

June 5, 2026, defendants Columbia West College Education Group, Inc. and Samuel Lee filed the present demurrer to plaintiff's complaint on the grounds that it fails to state facts sufficient to constitute a cause of action, it is time-barred by the applicable statute of limitations, and it is uncertain. On July 1, 2026, plaintiff filed an opposition. On July 10, 2026, defendants filed a reply.

[TENTATIVE] RULING

Defendants

Columbia West College Education Group, Inc. and Samuel Lee's demurrer to plaintiff's complaint is sustained with leave to amend.

ANALYSIS

Legal

Standard

"[A]

demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis

v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) As a general matter, in a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “A demurrer tests the pleading alone, and not the evidence or facts alleged.” (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pled or implied factual allegations. (Ibid.) However, the court does not assume the truth of conclusions of law, only facts. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

The

only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

“Typically,

‘leave to amend is liberally allowed as a matter of fairness, unless the complaint shows on its face that it is incapable of amendment.’” (Alborzi v. University of Southern California (2020) 55 Cal.App.5th 155, 183 [quoting City of Stockton v. Superior Court (2007) 42 Cal.4th 730, 747.].) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (Lewis v. YouTube, LLC (2015) 244 Cal.App.4th 118, 226.) Where there is a reasonable possibility that the plaintiff can amend its complaint and cure the defect, a demurrer should not be sustained without leave to amend. (City of Torrance v. Southern California Edison Co. (2021) 61 Cal.App.5th 1071, 1083–84.)

Uncertainty

Defendants

contend that plaintiff's complaint is uncertain because the assignment dated January 15, 2015 is not included in the complaint, nor is the first amendment to the lease. Thus, defendants argue that they cannot discern “what contract, if any, is brought by Plaintiff.”

The

complaint mentions several agreements between the parties, which are also attached as exhibits to the complaint as detailed below:

The lease agreement for the Premises entered into on March 27, 2014 (Compl., ¶ 5; Exhibit 1.)

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The Consent to Assignment Agreement dated June 21, 2016 by which the lease was assigned to defendant Columbia (Compl., ¶ 6; Exhibit 2.)

.

The Personal Guaranty dated June 21, 2016 by which defendant Lee became a personal guarantor of all rent and charges due under the lease agreement (Compl., ¶ 13; Exhibit 4.)

.

The Second Amendment to the Lease dated May 1, 2019 by which the lease term was extended to June 14, 2024 (Compl., ¶ 7; Exhibit 3.)

In the complaint, plaintiff alleges that defendant Columbia breached the written lease agreement, and pursuant to the personal guaranty, defendant Lee is also liable for the breach and unpaid rent. The written lease agreement is attached to the complaint as Exhibit 1, and the amendment which extended the lease through June 14, 2024 is attached as Exhibit 3. Thus, the rights and obligations under the lease are properly set out in the complaint and are not uncertain.

The original lease agreement (Exhibit 1) was signed by defendant Lee. Defendant Lee assigned all his rights and obligations under the lease to defendant Columbia via an assignment agreement. Exhibit 2 is the "Consent to Assignment Agreement" entered into between plaintiff and defendants, and defendants argue it is uncertain because the attachment referenced in the Consent (the Assignment itself between the defendants) is missing from the complaint. However, the Consent clearly states that "Assignee expressly assumes and agrees for the benefit of Landlord to be bound by, and to perform and comply with, every obligation of the Assignor under the Lease." (Exhibit 2, at p. 1.) Thus, there is no uncertainty as to the fact that defendant Columbia assumed all rights and obligations under the lease from defendant Lee. The assignment between the defendants is not necessary to make the complaint certain given these facts.

Lastly,

the personal guaranty by defendant Lee is properly attached to the complaint as Exhibit 4 and clearly states that it was entered into as consideration for the Consent, and that “in the event of default by Assignee [defendant Columbia] under this Consent and/or related Assignment or Lease . . . Landlord [plaintiff] may proceed against the undersigned [defendant Lee]. . .” (Exhibit 4, at p. 1.) Thus, plaintiff’s rights against defendant Lee as guarantor are also clear and certain.

Defendants

further argue that the “Work Letter” referenced in the Second Amendment is not included in the complaint. However, nothing in the complaint mentions the Work Letter, and plaintiff is not suing under the Work Letter, making its inclusion unnecessary to state a certain claim for breach of contract.

Plaintiff

is not suing under the terms of the documents which defendants contend were impermissibly omitted from the complaint. The complaint is not so uncertain as to fail to place defendants on notice of the allegations against them.

The

demurrer cannot be sustained on the grounds of uncertainty.

Statute

of Limitations

Defendants

argue that plaintiff’s cause of action is time-barred. Specifically, defendants argue that any of the alleged amounts of unpaid rent due and owing prior to January 30, 2022 are time-barred.

Under

Code of Civil Procedure section 337, subdivision (1), the statute of limitations for “[a]n action upon any contract, obligation or liability founded upon an instrument in writing” is four years. (Code Civ. Proc., § 337, subd. (1).) “The limitations period, the period in which a plaintiff must bring suit or be barred, runs from the moment a claim accrues. Traditionally at common law, a ‘cause of action accrues ‘when [it] is complete with all of its elements’—those elements being wrongdoing, harm, and causation.’” (Aryeh v. Canon Bus. Sols., Inc. (2013) 55 Cal.4th 1185, 1191 [citations omitted].)

Plaintiff

filed the present action on January 30, 2026. Plaintiff alleges that defendant Columbia voluntarily vacated the Premises on August 31, 2022. (Compl., ¶ 8.) At the time defendant Columbia vacated the Premises, plaintiff alleges there were unpaid balances of rent due under the lease. (Compl., ¶ 9.) Defendants argue that those previous balances of owed rent were balances due under an installment contract, and thus the four-year statute of limitations applies separately to each missing payment.

“It is settled in California that periodic monthly rental payments called for by a lease agreement create severable contractual obligations where the duty to make each rental payment arises independently and the statute begins to run on such severable obligations from the time performance of each is due. . . . ‘As to instalment contracts generally, the weight of authority is to the effect that an action to recover any unpaid instalment must be brought within the period of limitations after the particular instalment becomes payable under the contract. [Citations.] It also has been held that the provisions of an express contract [in this case, the lease], and not the entries in an account kept by plaintiff, control the running of the statute.’”

(Tsemetzin

v. Coast Fed. Sav. & Loan Assn. (1997) 57 Cal.App.4th 1334, 1344 (1997)

[citations omitted].) Accordingly,

plaintiff may only recover all unpaid rental installments due during the four-year period prior to the filing of the complaint. Four years prior to January 30, 2026 is January 30, 2022.

Plaintiff

argues in opposition that “the complaint on its face does not state that the Plaintiff is seeking damages for rent prior to a specific date” but is merely seeking damages of approximately \$420,293.35 in unpaid rent. (Opposition at pp. 3–4.)

Given

that the lease term ran in totality from March 27, 2014 until June 14, 2024—though it was cut short by defendant Columbia’s voluntary vacating of the Premises in 2022—it is likely that some of the alleged damages occurred outside of the statute of limitations period while some occurred within the limitations period. However, such a question of damages will require evidence of the exact

dates of nonpayment, and on demurrer, the court merely considers whether, on the face of the complaint, plaintiff has properly stated a claim. Factual issues such as the damages that plaintiff may properly seek are not to be resolved on demurrer.

Assuming

all facts alleged in the complaint to be true, the court cannot determine that plaintiff's entire cause of action is time-barred. As such, the demurrer cannot be sustained on this basis.

First

Cause of Action – Breach of Contract

To

state a cause of action for breach of contract, a plaintiff must be able to establish "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

If a

breach of contract claim "is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written agreement must be attached and incorporated by reference." (*Harris v. Rudin, Richman & Appel* (1999) 74 Cal.App.4th 299, 307.) In some circumstances, a plaintiff may also "plead the legal effect of the contract rather than its precise language." (*Construction Protective Services, Inc. v. TIG Specialty Ins. Co.* (2002) 29 Cal.4th 189, 198–99.)

The

lease agreement, consent to assignment, and guaranty are properly attached to the complaint, satisfying the requirement that the terms of the contract be either set out verbatim or attached as an exhibit.

Plaintiff

alleges that the parties entered into a lease agreement/assignment/guaranty, as detailed above (Compl., ¶¶ 5–7, 13); that defendants breached by vacating the Premises and defaulting on rent payments (Compl., ¶¶ 8–9), and that plaintiff was damaged in the amount of approximately \$420,293.35 due to the unpaid rent (Compl., ¶ 9). However, plaintiff does not explicitly allege in the complaint

that plaintiff performed all its obligations under the contracts at issue or was excused from such performance. Thus, plaintiff did not properly allege all elements required to state a cause of action for breach of contract.

The demurrer is sustained with leave to amend for plaintiff to properly allege all elements of the cause of action for breach of contract.

Defendants also separately argue that the personal guaranty alleged in the complaint is unenforceable as a sham guaranty and thus the complaint fails to allege sufficient facts to state a claim against defendant Lee.

The court finds that the question of whether defendant Lee can properly be held liable as a guarantor—and whether the guaranty is enforceable—is a factual issue not to be resolved on demurrer. Courts have previously held that a corporate officer who signed a personal guaranty separate from the corporation's liabilities can be held liable based upon that guaranty. (See, e.g., *Sebastian Int'l, Inc. v. Peck* (1987) 195 Cal.App.3d 803, 809 ["By its terms, the contract expressly describes a personal obligation and thus raises no question as to Peck's individual liability. The words 'Vice President' added to the signature line are merely descriptive and as a matter of law . . . do not alter his obligation. Moreover, the guaranty would be rendered a nullity if Peck had signed only in his corporate capacity since the corporation was already bound under the terms of the sublease."].) Plaintiff has sufficiently alleged a basis for defendant Lee's liability which must be assumed true on demurrer. Further, defendants' argument in their reply that defendant Lee was already jointly and severally liable with defendant Columbia under the lease (and thus could not also be a guarantor) only provides a further basis by which plaintiff can assert a claim against defendant Lee. The demurrer cannot be sustained as against defendant Lee on this basis.

CONCLUSION

Defendants Columbia West College Education Group, Inc. and Samuel Lee's demurrer to plaintiff's complaint is sustained with leave to amend as to the First Cause of Action to properly allege plaintiff's performance.